

Chapter 12 Review Paper: Institutions, Institution Change and Economic Performance (Douglas North)

Changes in Neo-Classical Theory to incorporate Institutional Analysis.

Rationality and Institutions

Theory in economics standardly functions under the assumption of instrumental rationality whereby actors are all knowing and take those choices which are cost effective. This assumption is valid in situations of perfectly competitive market with zero transaction costs. But most of the time, in real-world environments, actors have incomplete information, depend on subjective models and poor feedback. Procedural rationality offers a more realistic basis for the analysis of markets and institutions.

Transaction Costs

Transaction cost—all information is not in Is information expensive to obtain; is it equally distributed? Furthermore, institutions generate imperfect information themselves and result in mismatched incentives. So long as even the best institutions are merely better than the alternatives (including both no institution at all or past institutions that have failed), they will not be able to eliminate problems like cheating, shirking, or free-riding. This means that incentive incompatibility is a characteristic of human exchange and large parts of modern industrial organization and political economy are devoted to its understanding.

Institutional Innovation

Historically, the success stories of economic growth are largely attributed to institutional innovations that lower transaction costs. Such innovations enable societies to generate more trade benefits and market expansions. However, they scarcely reach the level of perfect efficiency as in neoclassical models.

In fact, they only manage to create improved, albeit still imperfect, environments for exchange, which is a very strong argument for the role of institutions in determining economic outcomes.

The Political Market

Economic activities become highly dependent on the political system since it is the politics that set and enforce ownership rights. To get political decisions near the ideal of zero transaction costs, a number of conditions need to be fulfilled: the parties concerned have to possess the right information and the right models, representatives have to genuinely represent their voters, the aggregate gains and losses have to be mirrored in the votes, and the losers have to be compensated in the most efficient way.

Contemporary universal suffrage democracy is the closest to these conditions, it helps vote trading and political competition as means but remains imperfect.

Built-in Disincentives

Even though there are democratic institutions, major disincentives still exist. Rational voter ignorance hinders voters from being fully informed about all laws, and agency problems imply that politicians, as agents, often do not follow the interests of their constituents but will barter their electoral support for personal advantages.

It is uncommon to compensate the losers, and the results are not aligned with the efficient ideal. Hence, political institutions deliver results that are superior to the absence of any institutions but they are still very far from being efficient in the neoclassical sense.

Property Rights

Property rights, even when designed to be efficient, are seldom so in practice. They are costly to monitor and enforce, and they contain built-in disincentives that encourage shirking, cheating, or theft. Informal constraints often evolve to mitigate these problems. While Western markets sometimes approximate the neoclassical ideal, these cases are exceptional and require stringent institutional conditions.

The Implications for the Static Analysis of Economic Performance

Institution-Specific Models

Economic and political models are not applicable universally; rather, they are tailored to a specific institutional environment. The institutional constraints that exist at one time and in one economy may differ from those that exist in another time and economy, so models have to be reworked to fit different situations. For instance, a model that is effective today in the United States cannot be expected to work in Japan or maybe even in the U.S. next year. The institutions determine the extent to which organizations can operate, therefore controlling whether firms, unions, or political parties in the first place will engage in productive or unproductive behaviors. Developing countries remain poor often because their institutional constraints lead to unproductive behavior. On the other hand, socialist economies are starting to realize that their institutional frameworks have been limiting their performance. Even in rich economies, small changes in institutions such as tax laws, regulations or court rulings can greatly influence the behavior of organizations and the resulting economic outcomes.

Behavioral Models and Information Processing

When economists consider institutions as part of analysis, they are required to rethink the behavioral models that form the basis of their discipline. Rational choice models of the past assumed that actors always correctly identify the causes of their problems, know the costs and benefits of each alternative, and then act accordingly. But the truth is, information is not free, environments are complicated, and people use their own subjective mental models in order to make sense of the world. Thus, actors are very often using models that are incomplete or even inaccurate. Understanding more fully the complexity of human motivation and the way people process information goes a long way towards explaining the existence of institutions and the role they play in influencing outcomes.

The Role of Ideas and Ideologies

People's ideas and beliefs are important because they form the basis of individuals' mindsets through which they interpret reality and make decisions. Institutions decide the degree of impact these ideas can have by organizing human interaction and deciding the cost of following one's convictions. An example is a democratic voting system or a hierarchical organization structure, both giving individuals a way to express their opinions, which sometimes leads to results drastically different from those expected by straightforward interest, group models. Thus, institutions act as a filter between ideas and economic and political behavior.

Political Economy Integration

One cannot understand the economy without also understanding the polity and vice versa. The institutional constraints illustrate the exchange relationships between politics and economics which determine the mode of operation of systems. Politics determine and uphold property rights, which constitute the fundamental incentive structure of economies. In contemporary economies, the role of government spending and regulations are key to economic performance. Hence, both macroeconomic and microeconomic models need to consider institutional constraints if they are to be of any use. Economic theory is incapable of sufficiently explaining or solving economic problems if it overlooks the political process and its institutions. The emergence of a genuine political economy as a discipline hinges upon the need to model the political, economic process, giving institutions and their effects explicit consideration.

The Implications of Institutional Analysis for the Construction of a Dynamic theory of long-run Economic change

Integrating Institutions into Economic Theory

Static neoclassical theory has to be changed to at least include institutions; however, it is a totally new framework that is needed if one wants to build an economic change model. The idea that the past deeply affects the future (path dependence) is the key to interpreting economic change over a long period of time. The method preserves the neoclassical focus on scarcity, competition, and incentives, yet it partly incorporates elements such as imperfect information, different perceptions of reality, and the increasing returns that are typical of institutions. This model links micro, level economic behaviors with macro, level institutional incentives and demonstrates how institutions and entrepreneurs look for profits through their skills, knowledge, and information, while institutional paths become self, reinforcing over time.

Path Dependence and Institutional Trajectories

When a society chooses an institutional path, there are increasing returns that make it very difficult to change the path. Changes happen through unexpected results, external shocks, or exogenous forces, but significant reversals, for example, a change from stagnation to growth, generally need political change. This framework helps to understand why England and Spain had such different long, term economic trajectories even though they encountered similar fiscal crises in the sixteenth and seventeenth centuries.

England vs. Spain: Divergent Paths

Both England and Spain were confronted with spending crises due to the increase in military costs and thus depended on their respective representative bodies, i.e. Parliament in England and the Cortes in Spain to obtain money. However, their choices of institutions for the solutions were quite different. The Parliament in England through continuous negotiations limited the powers of the monarchy, enhanced property rights, and created fair court systems. Spain, under a powerful monarchy dominated by Castiles bureaucracy, gave up the interest of the crown to be the only secured property rights. As a consequence, there were constantly repeating fiscal crises, insolvencies, confiscation, and insecure property rights, which eventually led to a loss of economic stability.

Institutional Frameworks and Crisis Responses

The representative institutions of England were the source of the fiscal stability and innovation that England enjoyed, whereas the centralized bureaucracy of Spain dictated the populace with a series of decrees and policies. Spains rulers, when confronted with successive wars and fiscal crises, took the road of desperate measures in the form of price controls, tax increases and confiscations. Reformers suggested a wide range of measures from banks to servant restrictions and even banning Latin education in small towns, but these efforts were without any political backing. Jan De Vries noted that the only concrete achievement was the ban on the ruff collar, which was a mere insignificant reform for the scale of the problems. Thus, it highlights the failure of instrumental rationality to overcome the institutional setting of Spain.

Organizational Implications

England's Parliament established the Bank of England and linked government expenditures to tax revenues, thus setting up the basis for a private capital market. Good property rights, the gradual removal of mercantilist restrictions, and the diminishing power of guilds allowed firms to take advantage of opportunities in domestic and international markets. Patent laws and the increasing size of markets stimulated innovation, which in turn led to industrial growth. On the other hand, Spain was plagued by insecure property rights and fiscal instability; hence, lack of investment and innovation. The difference in institutions partly accounts for England's starting a long, run growth trend while Spain was stuck in a period of relative stagnation for centuries.

Downstream Consequences in the New World

The different ways in which England and Spain operated also influenced their respective colonies. The economic history of the US was primarily influenced by a federal political system, checks and

balances, and the protection of property rights which altogether brought about long, term contracting, and capital market development. The Civil War itself was not strong enough to disrupt this institutional matrix. Latin America, on the other hand, brought back from Spain and Portugal heavily centralized and bureaucratic traditions. As John Coatsworth vividly depicts the situation in Mexico during the 19th century, business ventures were functioning in a highly politicized setting, and on top of that, they had to depend on family ties, political clout, and social status of the family to get hold of credit, labor, and protection. On the contrary, small businesses, which did not have any privileges, were forced to operate on the edge of the law, being very vulnerable to the arbitrary behavior of officials and having insecure property rights.